CORE DOMAIN 2: CORPORATE FINANCE & VALUATION

50 Essential Questions & Answers on Strategic Corporate Capital

Q1. What is Weighted Average Cost of Capital (WACC)?

Answer: The average rate a business is expected to pay to finance its assets, calculated by weighting its cost of debt and equity proportionally.

Q2. Define Net Present Value (NPV).

Answer: The difference between the present value of cash inflows and outflows over a specific period, used to evaluate project profitability.

Q3. What is the Internal Rate of Return (IRR)?

Answer: The discount rate that makes the Net Present Value (NPV) of all cash flows from a specific project equal to zero.

Q4. Explain the Capital Asset Pricing Model (CAPM).

Answer: A model describing the relationship between systematic risk and expected return for assets, expressed as: Expected Return = Risk-Free Rate + Beta * (Market Return - Risk-Free Rate).

Q5. What does Beta represent in finance?

Answer: A metric measuring the volatility or systematic risk of a security or portfolio relative to the broader market (where market Beta is 1.0).

Q6. What is capital structure?

Answer: The specific mix of debt and equity a corporation utilizes to finance its overall operations and growth initiatives.

Q7. What is working capital management?

Answer: The operational strategy focused on maintaining efficient levels of current assets and current liabilities to guarantee business liquidity.

Q8. What is the difference between a merger and an acquisition?

Answer: A merger combines two distinct companies into one new entity; an acquisition occurs when one company purchases another and integrates it into its existing structure.

Q9. What is Free Cash Flow to the Firm (FCFF)?

Answer: The cash available to all capital providers (both debt and equity holders) after meeting all operating expenses and capital investments.

Q10. What is Free Cash Flow to Equity (FCFE)?

Answer: The cash available solely to equity shareholders after paying operating expenses, capital expenditures, and net debt repayments.

Q11. Explain the concept of Terminal Value in a DCF model.

Answer: The estimated value of a business beyond the explicit forecast period (usually 5–10 years), assuming a stable long-term growth rate.

Q12. What is a Leveraged Buyout (LBO)?

Answer: The acquisition of another company using a significant amount of borrowed money (debt) to meet the cost of acquisition, using the target's assets as collateral.

Q13. What is Synergy in M&A?

Answer: The concept that the financial performance and value of two combined companies will be greater than the sum of their individual separate parts.

Q14. What is the difference between operating leverage and financial leverage?

Answer: Operating leverage measures the reliance on fixed operating costs; financial leverage measures the reliance on fixed debt financing costs.

Q15. Define Enterprise Value (EV).

Answer: A comprehensive measure of a company's total value, calculated as Market Capitalization + Total Debt + Preferred Stock + Minority Interest - Cash and Cash Equivalents.

Q16. What is EBITDA?

Answer: Earnings Before Interest, Taxes, Depreciation, and Amortization—used as a proxy for operational profitability and cash generation flow.

Q17. What is a pitch book in investment banking?

Answer: A highly detailed marketing presentation used by investment banks to pitch their services and strategic ideas to prospective corporate clients.

Q18. What is the dividend payout ratio?

Answer: The percentage of net income paid out to shareholders as dividends, calculated as Dividends Paid divided by Net Income.

Q19. What is a stock buyback (share repurchase)?

Answer: When a company buys its own outstanding shares from the open market, reducing share count and inflating earnings per share (EPS).

Q20. Explain the trade-off theory of capital structure.

Answer: The theory that firms balance the tax advantages of debt financing (interest tax shield) against the costs of potential financial distress and bankruptcy.

Q21. What is an IPO (Initial Public Offering)?

Answer: The process by which a private corporation offers its shares to the public for the first time to raise institutional capital.

Q22. What is the role of an underwriter in an IPO?

Answer: An investment bank that manages the IPO process, values the shares, buys them from the issuer, and sells them to the public network.

Q23. What is due diligence in corporate finance?

Answer: A comprehensive audit and investigation of a business or person prior to signing a contract, merger, or investment agreement.

Q24. What is the hurdle rate?

Answer: The minimum acceptable rate of return required by a company or investor before committing capital to a specific project or investment.

Q25. What is an interest tax shield?

Answer: The reduction in income taxes brought about by the tax-deductibility of interest payments on outstanding debt obligations.

Q26. What is the difference between strategic and financial buyers in M&A?

Answer: Strategic buyers look for synergies with their existing businesses; financial buyers (like private equity firms) look for standalone returns via operational improvements.

Q27. Explain Comparable Companies Analysis (CCA).

Answer: A relative valuation method that evaluates a target firm's value using the trading multiples of similar publicly traded peers.

Q28. Explain Precedent Transactions Analysis.

Answer: A valuation approach that looks at past merger and acquisition transactions involving similar companies to estimate a target's current takeover value.

Q29. What is a Discounted Cash Flow (DCF) valuation?

Answer: An intrinsic valuation approach that estimates a business's value based on the present value of its projected future cash flows.

Q30. What is the perpetuity growth method?

Answer: An approach to calculate terminal value assuming a company's free cash flows will grow at a constant, sustainable rate forever.

Q31. What is the exit multiple method?

Answer: An approach to calculate terminal value by multiplying financial metrics (like EBITDA) at the end of the projection window by a industry-standard peer multiple.

Q32. What is the difference between unlevered and levered beta?

Answer: Unlevered beta measures the asset risk of a firm without considering debt; levered beta adjusts for the added financial risk of capital debt structures.

Q33. Define asset beta.

Answer: Another term for unlevered beta, isolating the pure operational risk of a business without debt distortions.

Q34. What is corporate governance?

Answer: The system of rules, practices, and institutional processes by which a firm is directed, controlled, and balanced among stakeholders.

Q35. What is the agency problem in finance?

Answer: A conflict of interest occurring when a firm's managers (agents) act in their own self-interest rather than in the interest of shareholders (principals).

Q36. What is a poison pill strategy?

Answer: A defensive tactic used by a target corporation to prevent a hostile takeover by making its stock less attractive or diluting the acquirer.

Q37. What is a tender offer?

Answer: A public proposal made by an acquirer directly to a company's shareholders to buy their shares at a specified premium price.

Q38. What does capital rationing mean?

Answer: The practice of placing a hard limit on the total budget allocated to new capital projects, forcing management to prioritize highest-NPV projects.

Q39. What is the sensitivity analysis?

Answer: A technique testing how the outcome of a financial model changes based on variations in individual input assumptions (like growth rate or margins).

Q40. What is a Monte Carlo simulation in finance?

Answer: A mathematical modeling technique that simulates thousands of random trials to capture the probability distribution of potential financial outcomes.

Q41. What is a dividend reinvestment plan (DRIP)?

Answer: A program allowing shareholders to automatically use dividend payouts to purchase additional partial shares of the issuing company.

Q42. What is the cost of equity?

Answer: The expected return required by equity shareholders to compensate them for the risk of investing capital in a company's stock.

Q43. What is the cost of debt?

Answer: The effective interest rate a corporation pays on its borrowed funds, calculated on an after-tax basis since interest is tax-deductible.

Q44. What is a capitalization rate (Cap Rate)?

Answer: Mainly used in real estate corporate finance, it is Net Operating Income divided by Current Property Value, reflecting property yield.

Q45. What is mezzanine financing?

Answer: A hybrid form of capital sitting between debt and equity, often giving lenders the right to convert debt into equity if the borrower defaults.

Q46. What is net operating profit after tax (NOPAT)?

Answer: A measure of a firm's operational cash efficiency, calculated as EBIT multiplied by (1 - Tax Rate).

Q47. What is Return on Invested Capital (ROIC)?

Answer: A metric measuring how efficiently a company allocates its capital into profitable investments, calculated as NOPAT divided by Invested Capital.

Q48. What is fair market value?

Answer: The price an asset would sell for on the open market between a willing buyer and a willing seller with full information.

Q49. What is liquidity risk in corporate finance?

Answer: The risk that a company will be unable to meet its short-term financial obligations due to an inability to convert assets into cash quickly.

Q50. What is solvency risk?

Answer: The long-term risk that a company's total debt burden will exceed its asset value, leading to default and liquidation structures.

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